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Prioritize institution building over just GDP growth

The dominant imperative for India is to increase GDP, so as to bring prosperity to over a billion people. There are few things more important than our challenge of becoming rich before we become old. We know, from the historical experience, that the only way out of mass poverty is to obtain modest rates of growth of per capita GDP that are sustained for many decades. As an example, if per capita GDP grows at 4 per cent per year, there is one doubling every eighteen years. Per capita GDP would go up by eight times in fifty years, and at the end of this, we would have graduated beyond middle income.

The problem with focusing on GDP growth as the immediate determinant of policy decisions is that there are many pathways to obtaining short spurts of GDP growth. GDP growth can be obtained through a great surge of debt, through a boom in government investment, by destroying the environment, by distorting the exchange rate, by establishing central planning structures that use coercion to mobilize and deploy resources, etc. Each of these pathways gives a short spurt of growth, but does not last in the long run.

The experiences of the USSR and Japan are salutary reminders of the ability of states to set up short bursts of growth through methods that lack sustainability. For each USSR or Japan that actually managed to obtain state-led growth for a few decades, the historical experience contains many countries that failed to do even this much when opting for a state-led model of growth.